Leaders

# “Government Incentives **Can Provide A Runway,** But Indian OSATs Must Compete Globally On **Their Own Merits**”

Prime Minister Narendra Modi recently laid the foundation stone for ASIP Technologies’ semiconductor manufacturing facility at Tarluvada, Visakhapatnam, marking an important step in the country’s push to build domestic semiconductor manufacturing and advanced packaging capabilities. Venkata Simhadri of ASIP Technologies, in an interaction with EFY’s Nitisha Dubey, discusses the company’s investment, the facility’s capabilities, its focus on advanced packaging technologies, and the role it aims to play in India’s semiconductor ambitions.



**VENKATA SIMHADRI**
MD AND CEO, ASIP TECHNOLOGIES

**What does ASIP Technologies do, and what are its key areas of focus?**

ASIP Technologies is an outsourced semiconductor assembly and test (OSAT) company that describes itself as a design-enabled OSAT. We primarily focus on advanced semiconductor packaging, with our initial focus on flip-chip BGA technology.

**The project involves an investment of ₹25 billion. How will this investment be deployed across the facility, equipment, and technology?**

The ₹25 billion investment will be deployed in two stages—Plant 1 and Plant 2. For Plant 1, we are investing more than ₹5 billion, while Plant 2 will involve an investment of more than ₹20 billion. The facility is being built at Tarluvada in Visakhapatnam, where the Andhra Pradesh government has allocated around 30 acres of land. A significant portion of the investment will go towards constructing the factory and cleanrooms, while a major share will also be spent on semiconductor packaging and testing equipment. Most of the equipment will initially be imported.

**What will be the initial production capacity, and how do you plan to scale it over the next three to five years?**

In Phase 1, we are targeting a production capacity of more than 100 million units per year. The facility will operate continuously in three shifts. In Phase 2, we plan to significantly expand capacity, with an eventual target reaching around 300 million units per year.

**What packaging and testing technologies will the facility initially support, and how will the technology roadmap evolve?**

Plant 1 will primarily focus on flip-chip BGA packaging, which is already considered an advanced packaging technology compared with other OSAT capabilities being established in India. In Phase 2, our roadmap is to transition towards more advanced packaging technologies, particularly 2.5D packaging.

**When do you expect commercial production to begin, and what are the key milestones between the laying of the foundation stone and the start of operations?**

The first milestone is completing the factory structure, which we expect to take around eight to nine months. This will be followed by equipment installation and trial production, which should take